

Palantir Technologies Inc.

PLTR NYSE

Hold	\$172.73 ▼ 1.80%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$415.08B
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PLTR: Insider Selling Meets Bearish Options Bets

WHAT HAPPENED

- Stock's down about 4% in three sessions, and the tell is in the options market — traders are loading up on near-term puts (bets the stock falls) at \$170, \$172.50, and \$175 strikes at 2-3x normal volume. That's over \$15M in bearish bets expiring this week, which usually means someone thinks there's downside coming fast.
- Peter Thiel (co-founder, biggest individual holder) continues his steady selling pattern, and Cathie Wood dumped a big chunk of PLTR to buy SpaceX on the same day — when the smart-money AI bulls are rotating OUT of your name into private AI, that's noise you should hear.

WHY IT MATTERS

Here's the real story: PLTR isn't down because the business is broken — it's down because the stock got too far ahead of even a fantastic business. At \$415B market cap on roughly \$4.8B in revenue, investors are paying about \$86 for every \$1 of sales, which is bananas even by AI standards (Nvidia trades around \$25, Snowflake around \$15). The bearish options flow plus cluster insider selling tells me institutions are quietly de-risking ahead of something — probably just profit-taking after a monster run, but possibly positioning for a broader AI multiple compression if the Fed stays hawkish or the government spending narrative hits a snag. The bull case (government AI spend accelerating under Trump's executive orders) is still fully intact — but at this price, you need everything to go right AND for the multiple to hold, which is a lot to ask.

POLICY & POLITICAL WATCH

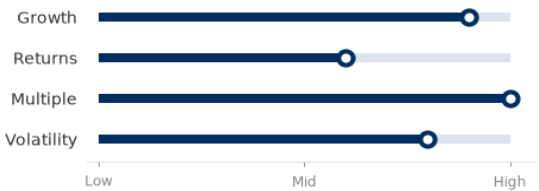
Palantir is essentially a direct beneficiary of the Trump administration's AI and defense posture — the White House's push to modernize DoD systems, ICE/immigration enforcement tech, and the ongoing "AI Action Plan" executive orders all funnel money toward PLTR's core Gotham and Foundry platforms. Watch the FY2027 defense appropriations debate this fall: any expansion of the Golden Dome missile defense funding or Army Vantage program is a direct tailwind, while any DOGE-style efficiency cuts to legacy IT contracts could ironically HELP PLTR since they replace those systems. The regulatory environment for AI in government is getting friendlier, not tougher — that's the single most important thing keeping the bull thesis alive at this valuation.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$172.73
12M Price Target	\$185.00
Upside / (Downside)	+7.1%
Market Cap	\$415.08B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	278.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$190.00	\$172.00	\$155.00
6 Months	\$220.00	\$185.00	\$140.00
1 Year	\$250.00	\$195.00	\$125.00
2 Years	\$320.00	\$230.00	\$110.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$400.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.3% on the week) and Communication Services (+2.4%) — money is rotating into defensive-growth names as investors get nervous about stretched tech multiples heading into fall.

COOLING OFF: Technology is down 2% on the week even though it eked out a gain today — that's classic distribution, where big holders sell into strength.

ROTATION WATCH: Money is quietly leaving the most expensive AI names (PLTR, high-multiple software) and moving into either cheaper AI infrastructure or defensive growth. This isn't a "sell tech" signal yet — it's a "sell the most stretched tech" signal, and PLTR is Exhibit A.

RELATED PLAY: If you like the government AI thesis but hate the valuation, look at defense primes with AI exposure (LMT, RTX, BAH) or the pure-play data infrastructure names — same tailwind, half the multiple.

WHO'S WINNING IN THIS SPACE?

- CRM (Salesforce): Barron's flagged it today as an AI winner — enterprise AI adoption at a reasonable multiple is where money is rotating.
- NOW (ServiceNow): Same story — workflow AI with real earnings, not just narrative.

PLTR CONTEXT: PLTR is lagging its AI peer group this week, which is notable because it usually leads on the way up AND down. That relative weakness combined with the bearish options flow suggests the stock is in a consolidation phase — not the start of a crash, but probably not going to \$200 in a straight line either. When the highest-multiple name in a group stops leading, it usually means the easy money in the trade has been made.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business and the policy tailwinds, but the valuation makes me cautious about adding here.

POSITION SIZE: 2-3% max. If you already own it and have big gains, consider trimming to that level — take some chips off the table.

ENTRY POINTS: I'd wait for \$150-160 on a tech pullback before adding fresh money. Chasing here means you're the greater fool if multiples compress.

TIME HORIZON: 12-24 months, with the key catalyst being FY2027 defense appropriations (Sept-Dec) and Q4 earnings showing commercial revenue growth staying above 50%.

WHEN TO BAIL: If government revenue growth drops below 30% YoY, if they lose a major DoD contract, or if Karp announces he's stepping back — any of those breaks the story.

HEDGING: Simplest way: sell covered calls against your position to generate income while you wait. Or buy 6-month puts 15% out of the money as insurance — costs a bit but sleeps well at night when the stock is this volatile.